` STATE OF NEW YORK
DEPARTMENT OF PUBLIC SERVICE

Case 23-G-0225 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.

Case 23-G-0226 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation d/b/a National Grid for Gas Service.

Case 23-G-0200 - Petition of The Brooklyn Union Gas Company d/b/a National Grid NY for a New York State Sales Tax Refund under 16 NYCRR Section 89.3 and Request for an Extension.

STAFF REPLY STATEMENT

NICHOLAS FORST
PETER HILERIO
MOLLY MAGNIS
Staff Counsel

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I. INTRODUCTION

On April 9, 2024, The Brooklyn Union Gas Company d/b/a National Grid NY (KEDNY) and KeySpan Gas East Corporation d/b/a National Grid (KEDLI) (collectively, the Companies) filed on behalf of the Signatory Parties, a Joint Proposal in the above captioned proceedings. On May 1, 2024, parties to the above captioned proceedings filed Statements in Support of or Opposition to the Joint Proposal (Initial Statements). In this Reply Statement, Staff responds to a number of the claims raised in parties' Statements in Opposition to the Joint Proposal.

II. OVERALL RESPONSE TO STATEMENTS IN OPPOSITION

1. OVERALL SUMMARY

As discussed in Staff's Initial Statement,[1] the Joint Proposal contains a number of provisions designed to protect and benefit customers' interests, maintain and improve the Companies' ability to provide safe, adequate and reliable service, and provide a resolution to other issues raised by intervenors, including but not limited to incorporating provisions to further the goals and mandates of the Climate Leadership and Community Protection Act (CLCPA or

[1] Cases 23-G-0225 et al., KEDNY and KEDLI – Rates, Staff Statement In Support of The Joint Proposal (filed May 1, 2024) (Staff Statement in Support).

Climate Act).[2] Despite the clear and obvious benefits contained in the Joint Proposal, certain parties have expressed their opposition to it. This Reply Statement responds to the parties who raised specific objections in their Statements in Opposition to specific sections of the Joint Proposal in Section III, below. In this section, Staff will specifically address the general areas of opposition raised by the parties.

The parties in opposition expressed concern over the size of the rate increases contained in the Joint Proposal. Alliance For A Green Economy (AGREE) contends that the rates are high and "it's hard to see how this Joint Proposal benefits customers in comparison to a litigated outcome."[3] The Natural Resources Defense Council (NRDC) contends that the rate increases are unjust, unreasonable, and dramatic.[4] All Our Energy stated that the rate increases are unrestrained.[5] While Staff is sensitive to the concerns raised by these parties regarding the proposed rate increases, the Joint Proposal ensures that the impact of the proposed increases are spread out over the entire term of the rate plan, which mitigates the impact on customers.[6]

Further, the Joint Proposal contains various provisions that place a strong emphasis on the Companies maintaining or improving their quality of service through Negative Revenue Adjustments (NRAs), and the Joint Proposal places a similarly strong emphasis on the Companies managing their costs through other reconciliations (e.g., property tax reconciliation, net-plant reconciliation, gas safety performance metrics, and customer service performance mechanisms). At the same time, KEDNY and KEDLI should receive sufficient, necessary, additional revenues enabling them to implement new programs and maintain their gas systems to ensure the continued provision of safe, adequate, and reliable service.

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2 The CLCPA is a comprehensive climate policy legislation that was enacted in 2019 as Chapter 106 of the laws of 2019. The CLCPA sets targets to reduce greenhouse gas emissions (GHG) by at least 40 percent from 1990 levels by 2030 and by at least 85 percent from 1990 levels by 2050. Also, the CLCPA established targets that would require electric utilities, by 2030, to procure at least 70 percent of the State's electric load from renewable energy resources, and by 2040 have an electrical demand system that is zero emission.

3 Cases 23-G-0225 et al., supra, Statement In Opposition Of The Joint Proposal By Alliance For A Green Economy (filed May 1, 2024) (AGREE Statement in Opposition), p. 2.

4 Id., Natural Resources Defense Council Statement In Opposition To The Joint Proposal (filed May 1, 2024) (NRDC Statement in Opposition), pp. 1, 9.

5 Id., All Our Energy Statement Of Opposition To The Joint Proposal (filed May 1, 2024) (All Our Energy Statement in Opposition), p. 2.

6 Staff Statement In Support, p. 23.

While Staff recognizes that parties may express their concerns in their Statements, the facts of this case do not support these statements. The Joint Proposal overall contains provisions that are in the public interest and consistent with State and Commission policies. These provisions will help ensure that the Companies provide safe and adequate service at just and reasonable rates consistent with the requirements of the Public Service Law.[7] For example, the Joint Proposal ensures that the Companies will continue to retire Leak Prone Pipe (LPP) with a more dynamic and concerted program which prioritizes the leakiest and highest risk segments,[8] requires Supplemental Leak Surveys in support of the Companies' LPP programs in advance of requirements to be adopted by the Federal Pipeline Hazardous Materials Safety Administration (PHMSA),[9] provides funding for a Connected Remote Methane Detection Pilot similar to those underway at other gas utilities such as Con Edison,[10] and incentivizes the Companies to address specific leak backlog targets.[11] These programs prioritize safety by addressing the riskiest and leakiest pipe while also providing innovative solutions. Also, these programs have the added benefit of addressing active and potential leaks which reduce harmful emissions. The Joint Proposal includes numerous enhancements to these programs while ultimately adopting lower LPP targets than Staff initially proposed. The Joint Proposal also adopts enhanced procedures and requirements for pursuing Non-Pipes Alternatives (NPAs) which can and should be used to meet the Companies' LPP removal targets.

Further, the Joint Proposal levelizes the revenue increases across the term of the rate plan to mitigate the impact of the increases.[12] The Joint Proposal allocates NRAs and other monies to support enhanced safety programs and/or to support innovative approaches to making these safety initiatives efficient and effective. Taken together, these measures will help to ensure that the Companies continue to provide customers with safe and adequate service at just and reasonable rates.

Additionally, the Joint Proposal contains provisions supportive of the goals of the CLCPA to reduce emissions, and avoid disproportionately burdening Disadvantaged

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7 Public Service Law (PSL) § 65(1).
8 Joint Proposal, pp. 74-75.
9 Id., p. 62.
10 Id., p. 34.
11 Id., p. 76.
12 Id., p. 10, Appendix 1, Schedule 3, and Appendix 2, Schedule 3.

Communities.[13] The Joint Proposal contains numerous improvements to the NPA development process, which will increase the Companies' NPA-related activity and position the Companies to successfully implement NPAs.[14] Further, the Joint Proposal contains provisions requiring the Companies to submit detailed CLCPA and Disadvantaged Community reports and analyses.[15] This reporting will require the Companies to provide detailed information concerning their CLCPA related activities, including Energy Efficiency spending in Disadvantaged Communities, Demand Response program participants located in Disadvantaged Communities, and gas usage in Disadvantaged Communities.[16] Moreover, the reporting data will enable the Department to monitor the Companies' activities to ensure that Disadvantaged Communities are not disproportionately burdened. Finally, the Companies' investment in replacing LPP will reduce emissions from this infrastructure which is consistent with the CLCPA's goals of reducing greenhouse gas emissions.

These provisions in the Joint Proposal demonstrate that Staff has worked diligently to ensure that the provisions of the Joint Proposal align with and advance New York State's policy goals and laws as discussed below.

2. CLIMATE LEADERSHIP AND COMMUNITY PROTECTION ACT (CLCPA)

In their Statements in Opposition to the Joint Proposal, parties raised numerous CLCPA related concerns which do not align with the actual requirements of the CLCPA or fail to adequately acknowledge the actions that the Commission is pursuing in furtherance of the CLCPA's greenhouse gas emissions reduction targets outside of the instant cases and any proceedings to address impacts to Disadvantaged Communities. AGREE,[17] Sane Energy,[18] We

[13] CLCPA §§ 7(2) & 7(3).
[14] Staff Statement in Support, pp. 75-78.
[15] Joint Proposal, pp. 46-51.
[16] Id.
[17] AGREE Statement in Opposition, pp. 6-8.
[18] Sane Energy Statement in Opposition, p. 3-4.

Act For Environmental Justice (We Act),[19] NRDC,[20] and All Our Energy,[21] all raise concerns regarding the Joint Proposals consistency with the requirements of the CLCPA.

2.1 Emissions Impacts and CLCPA § 7(2)

AGREE contends that the Joint Proposal did not include an emissions analysis,[22] however, statewide development of emissions inventory procedures, as part of Case 22-M-0149, are currently ongoing and are not yet finalized.[23] Moreover, KEDNY and KEDLI will have to comply with the Commission's directives related to completion of its emissions inventory in Case 22-M-0149, in addition to the reporting requirements established in the Joint Proposal.[24]

Further, although not specifically included in the Joint Proposal, the record does contain actionable information the Commission should consider regarding emissions impacts. Specifically, National Grid provides emissions impacts, both positive (i.e., emissions reductions) and negative (i.e., emissions increases), for numerous capital projects and the Companies' energy efficiency programs.[25] The emissions impacts reflective of KEDNY's rebuttal testimony position are anticipated three-year emissions reductions of 201,770 metric tons of carbon dioxide equivalents (MT CO2e) from infrastructure projects, and 678,571 MT CO2e result from KEDNY's energy efficiency programs.[26] Similarly, the emissions impacts reflective of KEDLI's rebuttal testimony position are anticipated three-year emissions reductions of 216,557 MT CO2e from infrastructure projects, and 571,281 MT CO2e result from KEDLI's energy efficiency programs.[27]

For both Companies, the LPP program represents the single largest source of emissions reductions, with 140,068 MT CO2e of emissions reductions at KEDNY, about 70

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19 Cases 23-G-0225 et al., supra, Statement of We Act Environmental Justice In Opposition To The Joint Proposal (filed May 1, 2024) (We Act Statement in Opposition), pp. 12-20.
20 NRDC Statement in Opposition, pp. 5-9.
21 All Our Energy Statement in Opposition, p. 3.
22 AGREE Statement in Opposition, p. 4.
23 Case 22-M-0149, CLCPA Implementation, Order on Implementation of the Climate Leadership and Community Protection Act (issued May 12, 2022), p. 15.
24 Joint Proposal, p. 46.
25 Case 23-G-0225 et al., supra, KEDNY and KEDLI Rebuttal Testimony of the Climate Leadership and Community Protection Act Panel (filed September 22, 2023) (KEDNY & KEDLI CLCPA Panel Rebuttal Testimony), Exhibit___(CLCPA-3R) and Exhibit___(CLCPA-4R).
26 KEDNY & KEDLI CLCPA Panel Rebuttal Testimony, Exhibit___(CLCPA-3R).
27 KEDNY & KEDLI CLCPA Panel Rebuttal Testimony, Exhibit___(CLCPA-4R).

percent of KEDNY's infrastructure-related emissions impact, and 203,614 MT CO2e of emissions reductions at KEDLI, about 95 percent of KEDLI's infrastructure-related emissions impact.[28] While the Companies' emissions impacts provided in their rebuttal testimony do not precisely reflect the portfolio of capital projects that underlies the capital budgets and net plant in service balance forecasts recommended in the Joint Proposal, it is a reasonable conservative approximation considering that the Joint Proposal provides for eliminating or replacing a higher level of LPP mileage compared to the Companies' testimony positions, and LPP projects have significant emissions reduction impacts.

2.2 Disadvantaged Communities and CLCPA § 7(3)

Sane Energy claims that the JP "fails to adequately safeguard the well-being and interests of Disadvantaged Communities, perpetuating environmental injustices and exacerbating existing, social, racial, and economic inequities."[29] We Act argues the Joint Proposal is inconsistent with the CLCPA and includes projects which will burden Disadvantaged Communities.[30] NRDC also argues that the Joint Proposal is inconsistent with CLCPA and that adoption of the Joint Proposal would disproportionately burden Disadvantaged Communities.[31]

As explained in Staff's Initial Statement, and to further respond to the opposing parties objections to the Joint Proposal, the Joint Proposal meets the requirements of the CLCPA concerning impacts to emissions goals as well as avoiding disproportionately burdening Disadvantaged Communities.[32] The Joint Proposal includes numerous enhancements to the Companies' programs and more specifically its analysis and reporting to address impacts to Disadvantaged Communities.[33] It is important to reiterate that the Joint Proposal and the provisions contained therein enable the Commission to find that the Joint Proposal complies with the CLCPA and does not disproportionately burden Disadvantaged Communities.

The Joint Proposal includes numerous beneficial programs to these communities and enhances the Companies' ongoing programs by integrating further consideration of

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[28] KEDNY & KEDLI CLCPA Panel Rebuttal Testimony, Exhibit___(CLCPA-3R) and Exhibit___(CLCPA-4R).
[29] Sane Energy Statement in Opposition, p. 4.
[30] We Act Statement in Opposition, pp. 21-22.
[31] NRDC Statement in Opposition pp. 5-6.
[32] Staff Statement in Support, p. 10.
[33] Id., pp. 12-13, 17, 75, 78-82, 111, 117, and 126-128.

Disadvantaged Communities as a facet of the Companies planning and project development efforts and by requiring annual reporting to assess the Companies' overall impacts to these communities.

Moreover, the Joint Proposal's support for the safe and reliable operation of the Companies' gas system provides immediate and direct benefits to customers in those communities by ensuring the safe and reliable operation of the system. The temporary construction impacts associated with programs such as the replacement of LPP reduce emissions and benefit customers by ensuring against the catastrophic failure of existing aging and leak prone infrastructure. The benefits of safety and reliability improvements accrue directly to those most closely located to, and who utilize, that infrastructure while providing benefits to other downstream users of the gas system. These immediate benefits should not be discounted in lieu of more environmentally friendly alternatives or larger scale initiatives to reduce gas infrastructure in light of the current statutory and regulatory requirements which necessitate investment in these systems.[34]

As stated in Staff's Initial Statement, the Joint Proposal "satisfies the criteria the Commission has established for complying with the CLCPA at this state in the CLCPA's implementation, while still meeting the PSL's requirement to provide safe and adequate service at just and reasonable rates."[35]

2.3 Timing and Coordination of CLPCA-Related Matters

Opponents to the Joint Proposal argue that the timing of the Joint Proposal would result in a Rate Plan that would be considered by the Commission shortly before the Companies' Long Term Plan is submitted for review, and those parties recommend that the Commission delay imposition of new rates until after completion of the review of the Long Term Plan.[36] The Joint Proposal includes provisions which acknowledge the potential impact(s) of the impending Long Term Plan review and obligate the Companies to adhere to and adjust their spending to reflect the Commission's directives stemming from said review.[37] These cost reconciliations act

[34] Id., p. 12.
[35] Id.
[36] NRDC Statement in Opposition, p. 2; All Our Energy Statement of Opposition, p. 2.
[37] Joint Proposal, pp. 30, 67.

as controls which directly address the parties concerns that these cases and the Long Term Plan review are mistimed.

Additionally, should the Commission delay or further suspend the Joint Proposal's recommended rate increases, the resulting increases i.e., rate compression, would be exacerbated, perhaps quite significantly. While these impacts are unquantifiable, they would be contradictory to the various mechanisms and controls such as levelization, which seek to lessen the impact of the Companies' rate requests. Delaying for an indefinite period for no other discernable reason than to deny the Companies requests jeopardizes the safe and reliable operation of the gas system and unduly delays implementation of the various beneficial programs and initiatives included in the Joint Proposal, some provisions of which these same parties, albeit in part, support or at least appreciate.[38]

The Companies' Long Term Plan is anticipated to be filed on May 31, 2024, and while it will take time for the process to unfold and the Commission to address the that LTP, the Companies next rate filing should be informed by the Commission's determinations on the Companies' LTP. Therefore, this cycle of anticipated Commission action on the LTP followed by rate proceeding is more beneficial as compared to the other way around and aligns with the spirit of the Gas Planning Proceeding.[39]

As stated in the Gas Planning Order, "each LDC should file a long-term plan on a three-year cycle."[40] Additionally, the Commission, after an approximately year-long process to review of National Fuel Gas Distribution Corporation's (NFG's) Long Term Plan filing, directed NFG to file its next Long-Term Plan by December 15, 2026, three years from the conclusion of the review and issuance of the Commission's Order.[41]

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[38] We Act Statement in Opposition, p. 53 (supporting the Joint Proposal's exclusion of the hydrogen pilot); Cases 23-G-0225 et al., supra, PULP Statement In Opposition Of The Joint Proposal (filed May 1, 2024) (PULP Statement of Opposition), p. 1 (expressing appreciation for the steps the parties have taken to consider consumer protection in the agreement); NRDC Statement in Opposition, p. 4 (acknowledging the Joint Proposal includes potentially beneficial enhancements to NPAs).

[39] While we note that it may be beneficial to address proceedings in a particular order, when multiple ongoing proceedings are before the Commission it may not be possible to time decisions in each proceeding in the most ideal manner.

[40] Case 20-G-0131, Proceeding on Motion of the Commission in Regard to Gas Planning Procedures, Order Adopting Gas System Planning Process (issued May 12, 2022) (Gas Planning Order), p. 20.

[41] Case 22-G-0610, In the Matter of a Review of the Long-Term Gas System Plan of National Fuel Gas Distribution Corporation, Order Implementing Long-Term Natural Gas Plan with Modifications (issued December 14, 2023), pp. 22, 61.

Applying a similar schedule to the Companies' Long-Term Plan Filing, it is reasonable to anticipate that the Companies would file their next Long-Term Plan in 2028, with the anticipated filing of the upcoming Long-Term Plan on May 31, 2024, a year-long review process to May 2025, and a new three-year period to develop the next Long-Term Plan thereafter. The term of the rate plan in the Joint Proposal concludes in 2027 and thus it is also reasonable to anticipate that were the Companies to file immediately after this rate plan ends they would do so in 2026 for rates to be effective beginning in 2027. This schedule is conducive to implementing the Commission's directives stemming from its review of the Companies' 2024 Long-Term Plan, as the Companies would have time to incorporate the Commission's directives established in 2025 into its next rates filing in 2026. Thus, the parties' concerns about the mistiming of this case and the cadence of Long-Term Plan filings are misplaced as they are appropriately addressed by the provisions of the Joint Proposal and by its term.

As stated above, the Joint Proposal accounts for modifications to the Companies' rate plan stemming from the Long-Term Plan review, therefore, the Joint Proposal does not foreclose on modifications to the Companies systems and businesses during the term of the rate plan in response to Commission directives, even potentially significant differences in the size and scope of the gas system itself. The Joint Proposal recommends an overall level of capital expenditures (CapEx) and resulting net plant in service balances based on a forecast of capital project costs and in-service dates. The Joint Proposal does not generally require specific levels of capital expenditures on any particular project, and provides the Companies with the flexibility to substitute, change, or modify their capital projects.[42] Therefore, approval of this Joint Proposal does not necessarily require the completion of the specific projects that underly the CapEx budgets. There are two exceptions, the Customer Connections budget which disincentivizes expenditures beyond the established budget cap, and the City State Construction which provides recoveries of 90 percent of the carrying costs on difference between actual spend and the budget. Moreover, the Joint Proposal specifically recognizes the potential that the Commission may modify this rate plan based on the outcome of its review of the Companies' LTP.[43]

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[42] Joint Proposal, p. 23.
[43] Id., pp. 30, 67.

Further, if the Commission issues specific directives regarding certain CapEx projects or funding levels in a different proceeding, the Joint Proposal provides the Companies with the flexibility to act in accordance with the Commission's directives. For example, if the Commission were to approve the Joint Proposal then later determine that National Grid should no longer be able to expend CapEx on a particular project, then the downward-only Net Plant In Service reconciliation mechanism established in the Joint Proposal would protect customers.[44] The downward-only Net Plant In Service reconciliation mechanism would refund the revenue requirement associated with the difference in actual net plant in service balances at the end of the Rate Plan compared to the forecast net plant in service balance recommended in the Joint Proposal.[45] This difference would be deferred for customer benefit, and would be disposed of in the next proceeding.[46]

2.4 Non-Pipe Alternatives Improvements

In its Statement in Opposition, NRDC recommends that the Commission reject the Joint Proposal and take four specific actions.[47] First, NRDC recommends the Commission reduce LPP mileage targets and projects. Second, NRDC recommends the Commission reject customer-funded contributions toward biomethane interconnections, which are discussed in greater detail below.[48] Third, NRDC also recommends that the Commission "direct National Grid, as part of its upcoming long-term gas system planning process, to develop a transparent methodology for and to conduct an analysis of its entire gas distribution system – with a particular focus on the LPP inventory – to identify zones where electrification could be more beneficial and feasible than additional investments in traditional gas infrastructure."[49] Fourth, NRDC recommends that the Commission "take expeditious actions to develop and standardize the NPA framework for National Grid and all other gas utilities, ensuring it is comprehensive and clearly defined."[50]

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44 Staff Statement in Support, p. 49.
45 Joint Proposal, p. 24.
46 Id.
47 NRDC Statement in Opposition, p. 18.
48 Id., pp. 18-19.
49 Id., p. 19.
50 Id.

Regarding the NRDC's first and second recommendations, they are discussed in specific sections further below. Concerning, NRDC's third and fourth recommendations, the Joint Proposal does not need to be modified to accommodate NRDC's requests.

NRDC recommends that the Commission direct the Companies to develop a "transparent methodology" to analyze its system to identify areas more apt for electrification beyond traditional gas infrastructure projects. This recommendation is not needed as submission of plans to utilize electrification, NPAs, and "no-infrastructure" options are already required as part of the Companies' Long-Term Plan filing.[51] In the Gas Planning Order, the Commission recognized that Staff proposed that each utility filing contain a "no infrastructure option" in addition to any others including a mix of demand response and NPAs to address the gap between demand and supply.[52] In addition, in the Gas Planning Order, directed gas companies to file NPA suitability criteria and define large and small projects with regard to costs.[53] As required, the Companies filed their NPA screening and suitability criteria, and NPA cost information on August 10, 2022 in the Gas Planning Proceeding.[54] As such, the Companies have complied with the Commission's directives to define their methodology to implement NPAs, thus no modification to the Joint Proposal is necessary. The Joint Proposal includes immediate improvements to the Companies' NPA processes, and provides flexibility to implement further guidance from the Commission as it is anticipated that the Commission may issue an order in the Gas Planning Proceeding.[55] For these reasons, NRDC's third recommendation should be rejected and the Joint Proposal should be adopted.

As discussed in Staff's Initial Statement, the Joint Proposal does not foreclose on opportunities to further develop the NPA framework, associated screening criteria, and cost recovery and incentive mechanisms, rather it explicitly states that any mechanisms approved by the Commission would be implemented during the remaining term of the Rate Plan.[56] Further, the Joint Proposal and Staff's Initial Statement specifically identify the numerous NPA-related activities required of the Companies to engage more thoroughly with the development of NPAs

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51 Gas Planning Order, pp. 35-37.
52 Id.
53 Id., pp. 38, 41.
54 Case 20-G-0131, supra, National Grid NPA Screening and Suitability Criteria Filing (filed August 10, 2022).
55 Joint Proposal, p. 39.
56 Staff Statement in Support, pp. 71-78.

as opposed to traditional infrastructure projects. NRDC's recommendation that the Commission continue development of the NPA framework in the statewide proceeding and thereafter require the Companies to apply the resulting directives is not a convincing argument to reject the Joint Proposal when the Joint Proposal requires the same thing of the Companies during the term of the Rate Plan. Thus, NRDC's fourth recommendation should be rejected, and the Joint Proposal should be adopted as proposed.

Similar to NRDC's recommendations discussed above, We Act recommends that the Commission require National Grid to dramatically scale up its NPA development efforts, noting that potential NPA projects identified during the term of the previous rate plan have failed to materialize.[57] To improve the NPA process, We Act states that educating customers about the benefits of electrification is critical, and identifies the lack of awareness and unfamiliarity with heat pump technology as barriers to electrification.[58] We Act, however, contends that "the Joint Proposal fails to reckon with the Companies' unsuccessful program design and sluggish implementation and identify new pathways to secure substantial advancement."[59]

Contrary to We Act's assertions, the Joint Proposal includes eight meaningful improvements to the Companies' NPA project implementation process, as discussed at length in Staff's Initial Statement, including prioritization of NPA projects within Disadvantaged Communities; a new, more rigorous process for developing NPA opportunities with the highest likelihood of success; new or expanded NPA use-cases which the Companies must pursue; strengthened customer outreach and education efforts through use of implementation contractors and lessons learned from experience with other NPA projects and other utilities; and improved forward-looking implementation planning and backward-looking reporting requirements to ensure that the NPA development process is improving as quickly as possible.[60] For these reasons, We Act's proposals should be rejected.

2.5 Coordination with Other Statewide Policy Proceedings

A common theme among the parties' opposition to the Joint Proposal is their conflicted reasoning regarding ongoing statewide policy proceedings and their interaction with

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57 We Act Statement in Opposition, pp. 17-18.
58 Id.
59 Id., p. 17.
60 Staff Statement in Support, pp. 75-78.

these rate cases. Specifically, that these rate cases require the Commission to act prior to its resolution of various issues in the various statewide policy proceedings and further, that the parties recommend that the Joint Proposal be rejected because it does not adopt their preferred outcome for these statewide proceedings. It is clear in the establishing Orders for each of these proceedings the inherent benefits to initiating a generic statewide proceeding. As such, it is unnecessary for the Commission to resolve these statewide issues for these individual Companies, nor is it appropriate for these parties to relitigate issues taken up in those proceedings in these rate cases. In addition, the Joint Proposal recognizes, where appropriate, the natural interplay between the rate cases and statewide proceedings, such as with the Companies' LTP filing, enhancements to the Companies' NPA programs, and enhancements to CLCPA reporting. Where possible, the Joint Proposal strikes the appropriate balance and includes controls to require the Companies to enhance their programs but also recognize the likelihood of additional enhancement to these programs pursuant to further Commission action.

Opponents to the Joint Proposal also contend that it does not go far enough to enact more extensive energy efficiency, home weatherization, underground thermal energy networks, or NPA-related requirements to assist in meeting the CLCPA's statewide emissions reduction target by 2030.[61]

Staff recommends that major policy determinations are best made in the context of statewide policy proceedings, such as the New Efficiency: New York Proceeding in Case 18-M-0084; the Gas System Planning Proceeding in Case 20-G-0131; the CLCPA Implementation Proceeding in Case 22-M-0149, among others, while individual utility rate proceedings should be reserved for implementing cost recovery and other utility-specific implementation considerations. The Commission has previously found merit in remanding consideration of certain issues to statewide proceedings instead of individual utility rate proceedings where uniformity between utilities is beneficial.[62] The Joint Proposal demonstrates this philosophy through implementation of the Commission authorized EE/BE portfolio addressed in Case 18-M-

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[61] AGREE Statement in Opposition, p. 6; Sane Energy Statement of Opposition, p. 6; NRDC Statement in Opposition, pp. 12-15.

[62] Case 15-E-0751, Value of Distributed Energy Resources, Order Establishing an Allocated Cost of Service Methodology for Standby and Buyback Service Rates and Energy Storage Contract Demand Charge Exemptions (issued March 16, 2022), p. 23.

0084, the Commission's generic EE/BE proceeding,[63] while establishing unique, service territory-specific details and requirements regarding the KEDLI HEAT program as part of this proceeding.[64]

All Our Energy argues that "the process for developing the Joint Proposal was opaque, confusing, and distant from the public eye,"[65] contending that additional public hearings should be held in this case. Similarly, NRDC states, "[a]n equitable, affordable, and orderly transition of the gas system is highly dependent on timely Commission action to standardize and flesh out the NPA framework for National Grid and other gas utilities. This should be expeditious and in a transparent manner with robust public input rather that [sic] in a confidential settlement process in which the primary objective is to resolve the plethora of issues raised by the Companies' request to increase rates."[66]

Staff politely calls attention to the fact that the Joint Proposal was developed over the course of multiple months and over 24 settlement meetings to which notice and invitations were provided to all parties. Further, the parties held both in-person and hybrid meetings and made accommodations to allow full party participation.[67] These settlement discussions were held pursuant to 16 NYCRR 3.9 and fully complied with the Commission's regulations governing settlement procedures. These arguments also disregard the significant public process following submission of the Joint Proposal including submission Initial and Reply Statements,[68] an evidentiary hearing schedule for May 20,[69] and the ongoing public comment period which runs through May 24.[70] Overall, All Our Energy and NRDC's arguments reflect the same conflicted logic discussed above, i.e., the Joint Proposal is deficient because it does not defer to statewide proceedings but also where it does not act in lieu of those proceedings it is similarly deficient.

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63 Case 18-M-0084, In the Matter of a Comprehensive Energy Efficiency Initiative.
64 Joint Proposal, p. 92.
65 All Our Energy Statement of Opposition, p. 1.
66 NRDC Statement in Opposition, p. 15.
67 Joint Proposal, p. 5.
68 Cases 23-G-0225 et al., supra, Ruling Establishing Procedural Schedule For Consideration of Joint Proposal (issued April 11, 2024).
69 Id., Notice of Evidentiary Hearing on Joint Proposal (issued April 25, 2024).
70 Id., Notice of Joint Proposal and Soliciting Public Comment (issued April 12, 2024).

Concerning NPAs, Staff agrees that the NPA processes require standardization across utilities, which should be done in a generic proceeding, Case 20-G-0131. It is precisely because NPAs were first developed on a utility-by-utility basis instead of through a statewide policy proceeding that gas utilities, including National Grid's upstate sister company as well as KEDNY and KEDLI, presently have similar but slightly different NPA frameworks. However, the need for standardization does not render the significant improvements in the Joint Proposal regarding NPAs meaningless. For these reasons, the arguments in opposition to the Joint Proposal should be rejected and the Joint Proposal should be adopted as proposed.

III. ELEMENTS OF THE JOINT PROPOSAL[71]

4.3 Earnings Sharing Mechanism and Allocation of Excess Earnings for Site Investigation and Remediation (SIR)

The Public Utility Law Project (PULP) contends that the allocation of excess earnings within the Earnings Sharing Mechanism (ESM), particularly regarding the funding of SIR costs is inadequate.[72] The Joint Proposal requires the Companies to allocate half of their excess earnings to cover SIR costs only when the actual Return On Equity (ROE) exceeds 100 basis points above the allowed ROE, a condition that only occurs in the second and third tiers of the ESM.[73] Instead, PULP proposes that the Companies' entire share and the customer's share of earnings exceeding the allowed ROE be dedicated entirely to address SIR costs.[74]

PULP's proposal overlooks the beneficial aspects of the ESM contained in the Joint Proposal. For example, the tiered structure of the ESM is designed to allow the Companies the opportunity to improve their cash flows, which is vital for enhancing the Companies' credit metrics and, by extension, enabling access to the capital markets at reasonable rates that ultimately benefits ratepayers through lower cost of debt. Moreover, by proposing that the Joint Proposal be modified so that both the Companies' share and the ratepayers' share of earnings in excess of the authorized 9.35 percent ROE be used to pay down SIR costs, PULP is effectively

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[71] To facilitate the reader's comparison of the actual provisions of the Joint Proposal with the descriptions included in this Initial Statement, the headings in this section generally correspond to the headings in Section IV of the Joint Proposal.

[72] PULP Statement of Opposition, pp. 3, and 7-9.

[73] Joint Proposal, p. 22.

[74] PULP Statement of Opposition, p. 9.

proposing an elimination of sharing bands. While the Commission has found that earnings sharing is an appropriate practice for SIR costs, it has not directed that all excess earnings be applied to these costs.

The Commission's Order concerning the management of SIR costs states that "…an earnings sharing mechanism may funnel some percentage of shareholder excess earnings to SIR costs."[75] The Joint Proposal's ESM, which allows for some portion of excess earnings to be allocated to SIR costs, is consistent with the Commission's Orders and is consistent with other joint proposals recently approved by the Commission.[76]

Further, PULP's proposed change could lead to unintended consequences. For instance, it could disincentivize the Companies from achieving cost efficiencies and productivity gains that would ultimately be beneficial to ratepayers in subsequent rate filings.[77] ESMs are a critical part of multi-year rate plans adopted by the Commission. In this instance, the Joint Proposal's ESM provides the Companies with a strong incentive to minimize costs and improve efficiencies. It also allows customers to share in the financial benefits of the Companies' endeavors to improve efficiencies, while ensuring that the Companies do not receive a windfall. Therefore, applying 100 percent of any excess earnings to the SIR deferral is not reasonable, and the Commission should reject PULP's proposal.

Additionally, PULP implies that the Joint Proposal does not consider "the flexibility to tailor the rate treatment of SIR costs to the concrete conditions of each utility,"[78] as cited from the 2012 SIR Cost Order.[79] PULP's contention is incorrect. Through its investigation, Staff examined the concrete conditions of the Companies' SIR programs,

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75 Case 11-M-0034, Proceeding on Motion of the Commission to Commence a Regulatory Review and Evaluation of the Treatment of the State's Regulated Utilities' Site Investigation and Remediation Costs, Order Concerning Costs for Site Investigation and Remediation (issued November 28, 2012), p. 3.

76 Cases 22-E-0317 et al., NYSEG and RG&E – Electric and Gas Rates, Order Adopting Joint Proposal (issued October 12, 2023) and Cases 22-E-0064 and 22-G-0065, Consolidated Edison Company of New York, Inc., Electric and Gas Rates, Order Adopting Terms of a Joint Proposal (issued July 20, 2023).

77 Cases 16-G-0058 and 16-G-0059, KEDNY and KEDLI Gas Rates, Order Adopting Terms Of Joint Proposal And Establishing Gas Rate Plans (issued December 16, 2016), p. 34.

78 PULP Statement of Opposition, p. 8.

79 Case 11-M-0034, supra, Order Concerning Costs for Site Investigation and Remediation, Proceeding on Motion of the Commission to Commence a Review and Evaluation of the Treatment of the State's Regulated Utilities' Site Investigation and Remediation (SIR) Costs (issued November 28, 2012), p. 3.

including but not limited to individual sites' regulatory processing status, adherence to remediation forecast schedules, coordination with affected landowners, and various other details guided by the 2012 SIR Cost Order, and evaluated whether the Companies' proposed rate allowance for SIR was reasonable for those concrete conditions. The Joint Proposals recommendation regarding the Companies' SIR program, SIR costs, and SIR recovery is designed, and tailored to the conditions and information provided by the Companies in these proceedings. Specifically, the Joint Proposal provides for the annual rate allowance for SIR expenses of $78.959 million for KEDNY, and $4.813 million for KEDLI for the duration of the rate plan.

Additionally, the Joint Proposal continues the amortization of the SIR deferral balance as of December 31, 2016. Further, the Joint Proposal continues to allow KEDNY to utilize an SIR surcharge for expenditures in excess of those used to forecast rates exceeding $25 million on a cumulative basis and be limited to an amount no greater than two percent of the Companies' prior year's aggregate revenues. These provisions reflect reasonable potential outcomes in these proceedings and reflect appropriate SIR expenditures for the projected level of SIR work. PULP did not provide any alternative analysis to contradict the Joint Proposals provisions regarding the Companies' SIR program. Accordingly, the Joint Proposal's SIR related provisions are reasonable and should be adopted.

4.4 Cost of Capital in the Joint Proposal is Appropriate

PULP opposes the Joint Proposal's fixed ROE of 9.35 percent, set for a three-year term, arguing that it is not in the public interest due to its potential to financially harm the Companies' ratepayers.[80] PULP contends that because the ROE is fixed and not subject to an annual true-up based on economic factors, it could lead to significant overcharges.[81] To buttress its point, PULP references an analysis its witness performed in its rebuttal, highlighting that the Companies' ratepayers incurred up to $481 million more in the cost of their gas service because of an authorized ROE that was locked in for several years rather than updated annually to account for changing economic conditions.[82] To address this issue, PULP advocates for an annual true-up of the ROE based on the most current economic data, utilizing Staff's ROE

[80] PULP Statement of Opposition, p. 5.
[81] Id.
[82] PULP Statement of Opposition, p. 6.

Model. However, PULP stated that if the Commission decides against the annual true-up, then it should consider the alternative of updating the ROE during the rate proceeding using the latest economic data to ensure that it remains timely and relevant.[83]

In recent cases, the Commission has addressed these comments raised by PULP. For example, in Cases 22-E-0317 et al., involving NYSEG and RG&E, the Commission firmly rejected similar positions proposed by PULP. In its Order, the Commission stated that PULP's comparisons of ROEs failed to acknowledge the alignment of rate orders with contemporaneous regulatory decisions for other utilities during similar periods.[84] This alignment underscores the appropriateness of the established ROEs and reflects broader economic and regulatory conditions.

Further, in its Order in the Consolidated Edison Electric and Gas rate cases, the Commission also emphasized that altering the established mechanism for setting ROEs without considering other impactful factors like forecasted costs would not be appropriate. The Commission also expressed concern that annual ROE updates could lead to extensive reviews on financial issues, undermining the efficiencies and cost savings intended by multi-year rate plans.[85]

PULP's argument that the multi-year settlement framework has burdened the Companies' ratepayers for the past three rate cases, costing them an estimated $481 million is without merit. PULP arrived at its $481 million amount by comparing the difference in ROE between multi-year settlements for the Companies and Staff ROE recommendations for one-year outcomes in testimony for other rate cases involving other utilities that occurred in roughly each rate year of the Companies' multi-year agreements. In reviewing PULP's comparative analysis of the Companies' three rate cases following their 2006 merger, Staff noted that the first two rate years in Cases 06-M-0878, 06-G-1185, and 06-G-1186, as well as the majority of the rate years in the Companies' current rate plan in Cases 19-G-0309 and 19-G-0310, had lower allowed ROEs in multi-year rate plans than those in the one-year rate plans recommended in Staff's testimonies.[86] Given that there have been instances where the ROEs in the Companies multi-

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83 Id.
84 Cases 22-E-0317 et al., supra, Order Adopting Joint Proposal (issued October 12, 2023), p. 28.
85 Cases 22-E-0064 and 22-G-0065, supra, Order Adopting Terms of a Joint Proposal (issued July 20, 2023), pp. 75-77.
86 William D. Yates Testimony Exhibit ___(WDY-03).

year plans were lower than the updated annual ROEs in Staff testimonies, there is no guarantee that this situation cannot happen again. Thus, PULP's implied assumption that fixed allowed ROEs in multi-year rate plans would be higher than those in updated one-year rate plans in Staff testimonies is unfounded.

PULP's analysis does not account for the benefits that are inherent in a multi-year agreement for this and other utility rate cases, which reflect the positions of the signatory parties of the Joint Proposals. Additionally, these Rate Orders adopt settled outcomes and reflect an agreement amongst the parties which falls within the range of litigated outcomes.

Moreover, implementing an annual ROE update mechanism would necessitate further updates to this rate plan including but not limited to an evidentiary hearing process that could potentially transform into an extensive, costly annual endeavor not solely limited to addressing the ROE. This additional process not only detracts from the efficiencies and cost savings included in this Joint Proposal, but those that are the hallmarks of most if not all multi-year rate plans. Staff also reiterates that adoption of PULP's proposal could disincentivize utilities from striving for cost-efficiency and productivity gains.

Furthermore, a fixed ROE within a multi-year rate plan aligns with the public interest by providing the necessary predictability and stability that supports economic balance and protects consumer interests against the volatility of frequent rate changes. It is worth noting that PULP did not raise this issue in the Veolia Water New York, Inc. rate case, and was a signatory to the joint proposal filed on January 26, 2024.[87] PULP's silence on the issue of a fixed ROE issue during that case, where they neither opposed nor suggested adjustments in their statement on the Joint Proposal, raises questions about the consistency and motivations behind their present arguments in the current rate case.[88]

Therefore, based on the foregoing, the Commission should reject PULP's proposal and continue adhering to the principles that have guided previous rulings on this matter.

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87 Case 23-W-0111, Veolia Water NY – Water Rates, Joint proposal (filed January 26, 2024).

88 Case 23-W-0111, supra, Statement of the Public Utility Law Project In Partial Support And Partial Opposition Of The Joint Proposal (filed January 26, 2024) (PULP Statement of Partial Support and Partial Opposition).

5.2 Investments in KEDNY's Greenpoint Energy Center are Appropriate

In their statement of opposition, SANE Energy strongly argues for the retirement of the Greenpoint Energy Center. While they acknowledged the detailed scrutiny and review of the proposed investments at the Greenpoint Energy Center outlined in the Joint Proposal, they are not convinced that the review of the Companies Long Term Plan filing in Case 24-G-0248 will be effective.[89] SANE Energy also argues against the allocation of $58.706 million in funding for projects in RY1 and expressed concerns related to the need for these expenditures, contending that the Companies are disingenuous about the needs of their facilities.[90] Specifically, SANE Energy is concerned with the decision to provide funding for this facility without fully understanding the Greenpoint Energy Center's future plans.[91]

AGREE, in their statement of opposition, highlights that the $255 million investment proposed in this Joint Proposal is to repair and continue operations of the Greenpoint Energy Center, which is a rarely utilized facility with greater capacity than needed in ten years.[92] All Our Energy, in its Statement in Opposition, states that they support other parties in their opposition to the Joint Proposal, especially all attempts to rein in expenditures for the Greenpoint LNG projects.[93]

While the Joint Proposal sets forth requirements for the Companies to include information necessary to conduct a comprehensive review of the long-term need for the Greenpoint Energy Center and the facility's role through 2044, it also allows for the necessary investments to replace aging equipment and infrastructure to ensure the continued safe and reliable operability of the LNG facilities.[94] The proposed budget provides funding for, among others, the Salt Water Pump Upgrade and Relocate the Maintenance and Control Building projects. The existing pump house was severely impacted during Superstorm Sandy and currently cannot produce adequate pressure and volume to protect the critical equipment at the facility if a fire were to occur. Also, the existing control building was constructed in the

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89 Case 24-G-0248, In the Matter of a Review of the Long-Term Gas System Plans of The Brooklyn Union Gas Company d/b/a National Grid NY, KeySpan Gas East Corporation d/b/a National Grid, and Niagara Mohawk Power Corporation d/b/a National Grid.

90 Sane Energy Statement of Opposition, p. 5, 9.

91 Id., p. 9.

92 AGREE Statement in Opposition, p. 8.

93 All Our Energy Statement in Opposition, p. 2.

94 Joint Proposal, pp. 27-30; Joint Proposal, Appendix 1, Schedule 4.

1970's and has outdated control equipment to operate the facility.[95] Failure to allow for the facility upgrades, (from their current poor or outdated condition) may likely compromise the facility's ability to serve customers on peak day or emergency events.

These parties who oppose such investments disregard the fact that the LNG facility is not designed to run continuously or frequently, rather it is necessary for critical peak days to ensure uninterrupted gas service for existing firm customers which includes all of the residential customers in the immediate service area of Greenpoint, Brooklyn.[96] The facility provides a limited supply source to the Companies gas distribution system, which is necessary to ensure system reliability when called upon for peak demand events during winter heating seasons or supply constraint events. For example, the LNG facility was called into service on December 23, 2022, to avoid customer curtailments on Christmas Eve.[97]

Further, LNG supply is a component of the gas supplies needed for peak day system reliability.[98] The facility investments contained in the Joint Proposal are crucial for the continued safe and reliable operation of the aging facility.[99] Due to the integral nature of the facility on the gas system and the peaking supply it was designed to provide it cannot be decommissioned without viable alternatives in place. These alternatives will be considered in the review of the Companies' Long Term Plan. The Joint Proposal includes substantive requirements for the Companies' Long Term Gas System Plan filings. These provisions of the Joint Proposal include a requirement that the Companies include scenarios to meet forecasted reliability needs with an entirely "no infrastructure option" and other scenarios relying on alternatives to traditional capital projects.[100] The Long Term Plan review will also assess alternatives and determine their viability, including emissions, and environmental and economic impacts.

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95 Case 23-G-0225 et al., supra, KEDNY Gas Infrastructure and Operations Panel Testimony, Exhibit GIOP-5 (filed April 28, 2013) (KEDNY GIOP Testimony), p.131.

96 Id., KEDNY and KEDLI Direct Testimony of the Gas Supply Panel (filed April 28, 2023) (KEDNY and KEDLI Gas Supply Panel Testimony), p. 13.

97 Winter Storm Elliot created gas supply issues due to very cold and fast temperature swings impacting gas production from December 22 through December 23, 2022. See, Inquiry into Bulk-Power System Operations During December 2022 Winter Storm Elliot, FERC, NERC and Regional Entity Staff Report October 2023, https://www.ferc.gov/media/winter-storm-elliott-report-inquiry-bulk-power-system-operations-during-december-2022 (accessed May 10, 2024).

98 KEDNY and KEDLI Gas Supply Panel Testimony, p. 13 and KEDNY GIOP Testimony, p. 68.

99 KEDNY GIOP Testimony, Exhibit___(GIOP-9), p. 5.

100 Gas Planning Order, p. 11.

The Joint Proposal acknowledges that the Commission, through the order addressing the Companies' LTP, can take appropriate action(s) including but not limited to requiring the Companies to defer the revenue requirement associated with any unspent capital investment, including return on and return of the investment as well as related O&M expenses, that the Companies can reasonably avoid as a result of the outcome of the comprehensive review of the facility and as ultimately determined by the Commission that the investments are not needed.[101] The funding levels included for the Greenpoint LNG facility in the Joint Proposal are necessary in order to ensure continued reliability to gas customers and should be approved.

10. Gas Safety Performance Measures

10.1 Leak Prone Pipe Program

In its statement of opposition, NRDC asserts that "functioning pipe made of materials that are considered leak prone does not represent an imminent safety and reliability risk."[102] Staff strongly contests NRDC's claims as they are patently false. LPP has a significant potential for an active leak to develop because it leaks at a higher rate than other types of pipe.[103] An active leak, can represent an immediate danger to life and property. LPP programs in New York State are first and foremost safety programs aimed to address the significant safety risks associated with LPP. Leak prone pipes are made of materials that, under normally occurring conditions, can reasonably expect to fail at a minimum of ten times the rate of non-leak prone materials. Failure modes range from a small pinhole corrosion leak (in the case of low-pressure bare steel pipeline) to full circumferential break (in the case of smaller diameter cast iron mains and or services). In both cases, there's a result of an increase in greenhouse gas emissions and, in the latter, a significantly increase in probability of an incident occurring that would have a similar result as the 2014 East Harlem gas explosion.[104] Therefore, it is incorrect to assert that

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101 Joint Proposal, pp. 27-30.

102 NRDC Statement in Opposition, p. 11.

103 Case 23-G-0225 et al., supra, Prepared Testimony of Staff Pipeline Safety Panel (filed September 1, 2023) (Staff Pipeline Safety Panel), p. 24.

104 See, Case 14-G-0201, In the Matter of the Investigation Relating to the Explosion and Collapse of the Buildings at 1644 and 1646 Park Avenue, New York, New York in the Service Territory of Consolidated Edison Company of New York, Inc. on March 12, 2014, DPS Incident Report (issued November 12, 2015); See also, National Transportation Safety Board. 2015., Natural Gas-Fueled Building Explosion and Resulting Fire., Pipeline Accident Report NTSB/PAR-15/01 (adopted June 9, 2015).

LPP does not represent a risk. Each failure of LPP has the potential to become an East Harlem event; with a cast iron failure significantly so.

With this in mind, Staff proposed in its testimony higher rates of replacement or removal of LPP segments.[105] In acknowledgement of the decrease in LPP removal targets included in the Joint Proposal, the Joint Proposal includes several additional programs and enhancements to alleviate safety concerns caused by further delay in removing this risk to the public.[106] These include the connected remote methane detectors, supplemental leak surveys and by placing a priority on removal of the riskiest LPP segments. The connected remote methane detectors do not eliminate the risk of an East Harlem type event from occurring but will allow for more rapid response by the Companies in preventing such an event from occurring.

The intent of the supplemental leak survey is to stay on top of new leaks that are reasonably expected to occur on LPP segments. This leak survey, like the connected remote methane detector program, is not a replacement for, nor complete mitigation of, the risk associated with LPP but will allow the Companies to stay on top of new leaks to prevent them from migrating into conditions that would result in an East Harlem type event. The supplemental leak survey also includes measures requiring the company to fix high emitting leaks[107] which is supportive of CLCPA emission reduction goals.

The Joint Proposal places a priority on the removal of the riskiest LPP segments by including a High Risk Mileage Target that will impose an NRA should the Companies fail to remove a significant percentage of high risk (Tier 1 and Tier 2) segments.[108] In AGREE's statement of opposition, AGREE posits that "safety needs [are in] … obvious contradiction to the greenhouse gas reduction mandates in the Climate Act."[109] However, given that LPP materials are, at a minimum, ten times more likely to leak, the removal of LPP is an important part of a comprehensive policy to address emissions reduction and ensure the safety and reliability of the gas system. Further, the Commission has recognized that the pursuit of the CLCPA goals must be done in conjunction with the need to ensure the safety and reliability of

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105 Staff Pipeline Safety Panel, pp. 28–29.
106 Staff Statement in Support, pp. 104-105.
107 Joint Proposal, p. 32.
108 Id., p. 75.
109 AGREE Statement of Opposition, p. 4.

the system.[110] Therefore, it is incorrect to suggest that safety needs contradict the greenhouse gas emissions targets of the CLCPA, as discussed above, LPP removal provides a sizeable contribution to emission reductions on the Companies' gas system.

In their statements of opposition, AGREE[111] and WE ACT,[112] focus on the cost of replacement with an underlying assumption that the LPP program proposed in the Joint Proposal limited solely to replacement of LPP. Traditionally LPP programs have only addressed repair by replacement, the LPP programs proposed in these proceedings are the first to recognize that retirements or abandonments will count toward the minimum target goals. As a result, the Companies are not constrained to spend budgeted money on replacements but are freed to "abandon[ed] in favor of NPAs and where infrastructure projects may be needed in the near future to maintain reliability," [113] and to develop "a comprehensive program that simultaneously removes leaking or leak-prone infrastructure and employs programs such as weatherization and demand response along with electrification."[114]

As previously discussed in Section 2 above, to the extent that the Companies' spend below its cumulative net plant balances forecasted for the Rate Years, customers are protected by the way of a downward-only true up. More specifically, in the event actual net plant balances on a cumulative basis are less than the forecasted balances reflected in rates, the Joint Proposal requires the Companies to defer the associated revenue requirement impacts for the benefit of customers. These reconciliations protect ratepayers from the Companies' underspending its budgets by delaying or avoiding work. Should the Companies' address LPP through retirements, or through less expensive NPAs it is foreseeable that customers would be insulated from these costs, and it is possible that the Companies could defer these impacts to the benefit of customers. As such, the Joint Proposal refutes parties' concerns that the costs of LPP are not just and reasonable or that the costs associated with the LPP do not reflect prudent investments.

For these reasons, the opposing parties' arguments should be rejected and the Joint Proposal should be adopted as proposed.

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110 Case 22-E-0317 et al., supra, Order Adopting Joint Proposal (issued October 12, 2023), p. 56.
111 AGREE Statement of Opposition, p. 3.
112 We Act Statement of Opposition, pp. 13-14.
113 Gas Planning Order, p. 39.
114 Id.

11. Customer Initiatives

11.2 Energy Affordability Program

In its Statement in Opposition, PULP stated that "the bill impacts associated with the Joint Proposal fall out of line with Regulatory Economic and Social Policies of the State and Commission."[115] In support of PULP's claim that the policy is failing, they cite the number of customers in arrears, the percentage of eligible customers enrolled in EAP, and the delivery bill increases resulting from the recalculation of discounts based on the two percent revenue cap. Regarding the delivery bill increases, PULP stated that "average residential customers could see between 8.5 percent to 134.41 percent delivery bill increases depending on whether they are enrolled or whether they are KEDNY or KEDLI customers."[116] In its Statement in Opposition, AGREE stated that the Joint Proposal has not prioritized better funded and more accessible energy affordability program and rate designs that incentivize energy conservation. Further, AGREE claims that the Joint Proposal requests no major changes to the energy affordability program and continues the declining block rate energy pricing.[117]

Similarly, in its Statement in Support, the City of New York (CNY) raises concerns with the bill impacts on EAP customers and recommends three options for the Commission to address their concerns. First, CNY suggests setting discounts to a three percent energy burden and deferring overages of $16 million in RY1. Second, CNY recommends that KEDNY make changes to its workbook used to calculate discounts to smooth out bill impacts. Third, CNY urges the Commission to grant KEDNY a temporary waiver to exceed its budget cap.[118] All three options constitute a material change to Commission-approved methodology, which should be addressed first and foremost in the EAP Working Group as directed by the Commission in its 2021 EAP Order.[119]

The EAP customer bill impacts the parties referenced in their statements were obtained from the Companies' response to PULP Discovery Requests numbers 61 and 62. The

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115 PULP Statement in Opposition, p. 3.
116 Id.
117 AGREE Statement of Opposition, p. 7.
118 CNY Statement in Support, pp. 8-10.
119 Case 14-M-0565, Proceeding on Motion of the Commission to Examine Programs to Address Energy Affordability for Low Income Utility Customers, Order Adopting Energy Affordability Policy Modifications and Directing Utility Filings (issued August 12, 2021) (2021 EAP Order), p. 38.

Companies have since revised their response to PULP's requests after identifying errors made in the calculation of the EAP discounts. A copy of the Companies' revised bill impact is shown in Appendix A. The EAP "affordability blocks on which discounts are based is equal to 110% of a 12-month levelized bill for the respective average monthly heating and non-heating electric and gas usage, as calculated by each utility for its residential customers."[120] Therefore, evaluating the impact using just delivery bill increase, excluding commodity costs, is misleading and does not accurately reflect customer bill impacts. Staff recommends the Commission evaluates the impacts on EAP customers using the total bill. The total bill impacts for EAP customers are similar to non-EAP customers and are not as extreme as they are portrayed by PULP and CNY. The total bill impacts for EAP customers in RY 1, with a monthly usage of 91 therms, range from 18.5 percent to 22.7 percent depending on the level of discounts they receive compared to a monthly total bill impact of 16.7 percent for non-EAP customers.

KEDNY's program budget is currently at the maximum amount of 2 percent of the total revenue, as mandated by the 2016 EAP Order. The May 2016 EAP Order requires utility Companies to reduce the discounts rather than exceed the two percent cap.[121] Therefore, increasing the discounts and program budget beyond the 2 percent budget cap would violate the Commission's 2016 EAP Order.

CNY's proposed remedies for altering the program fall beyond the scope of this rate proceeding and should be addressed in the EAP proceeding to ensure any program changes can be equitably implemented statewide. CNY has also simultaneously flagged this issue to the EAP Working Group to propose a long-term solution to more utilities meeting their budget caps and experiencing higher bill impacts as discounts are reduced. The Commission established the EAP Working Group in the 2021 EAP Order "to allow all interested stakeholders to participate collectively in the advisement of improving the EAP" and to promote "greater uniformity of the utility energy affordability programs statewide through standardized practices."[122] The wide-ranging impacts of any changes to the Commission approved methodology through these cases

[120] Case 14-M-0565, supra, Order Adopting Low Income Program Modifications and Directing Utility Filings (issued May 20, 2016) (2016 EAP Order), p. 23.
[121] Id., p. 32.
[122] 2021 EAP Order, p. 50.

would not only violate the Commission's directives in the various Affordability Orders,[123] but could also have unforeseen consequences for the other utilities. Those consequences should be evaluated in the EAP Working Group before they are implemented here or for any other utility.

PULP stated in their Statement in Opposition, "340,000 KEDNY and 89,000 KEDLI households… income falls below the Home Energy Assistance Program ("HEAP") eligibility limit, categorizing them as low-income. However, for various reasons, only an estimated 16 percent of these customers are enrolled in KEDLI's EAP program and only 44 percent of these customers are enrolled in KEDNY's."[124] To address enrollment concerns raised by PULP, the Joint Proposal includes provisions that enhance EAP outreach and reporting to ensure more customers understand the process to enroll in EAP if they must do so manually.[125]

While we understand the concerns of PULP, AGREE, and CNY, the Joint Proposal is consistent with the Commissions Energy Affordability Policy Orders,[126] and provides funding for payment assistance to be made available to eligible KEDLI and KEDNY customers. For these reasons, the Joint Proposal should be adopted.

11.2.1 Rate Design

In its Statement in Opposition, AGREE stated that the Joint Proposal has not prioritized rate designs that incentivize energy conservation. Further, AGREE claims that the Joint Proposal requests no major changes to and continues the declining block rate energy pricing.[127]

The rate designs contained within the Joint Proposal balance incentivizing energy conservation with affordable bill impacts. To this extent, for Service Classifications (SCs) which have multiple volumetric rates, the signatory parties explored whether or not a given SC could move away from the declining block rate structure without producing untenable bill impacts for effected customers. AGREE states that the Joint Proposal continues the current declining block

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123 Case 14-M-0565, supra, Order Granting in Part and Denying in Part Requests for Reconsideration and Petitions for Rehearing (issued February 17, 2017); Case 14-M-0565, supra, Order Approving Implementation Plans with Modifications (issued February 17, 2017); Case 14-M-0565, supra, Order Adopting Low Income Program Modifications and Directing Utility Filings (issued May 20, 2016) (collectively, Affordability Orders).

124 PULP Statement in Opposition, p. 4.

125 Joint Proposal, pp. 87-88.

126 Id.

127 AGREE Statement of Opposition, p. 7.

rates.[128] While this is correct for certain SCs, the Joint Proposal adopts rates for a number of SCs for both Companies that gradually move away from the declining block rate structure. An illustrative customer bill impacts table resulting from fully eliminating declining block rates for KEDNY's residential heating customers is contained in Appendix B.

As shown in Appendix B, fully eliminating declining block rates would result in disproportionate bill impacts to various customers. More specifically, while the average customer, using 97 therms, would receive a total bill increase of 5.62 percent compared to the 16.68 percent increase recommended in the Joint Proposal, the highest use customers at 10,000 therms and beyond would receive a total bill increase of 45.16 percent compared to the 13.78 percent increase recommended in the Joint Proposal.[129] Such drastic bill impacts contradicts the Commission's policy of favoring gradualism and rate stability.[130] The rate design contained in the Joint Proposal strikes a balance between incentivizing energy conservation and reasonable bill impacts across numerous service classes, is consistent with Commission policy, and therefore should be adopted.

IV. OTHER ISSUES RAISED IN STATEMENTS IN OPPOSITION

1. The Commission is Equipped to Consider Whether Companies Actions Constitute Unduly Influencing Public Officials.

1.1 Public Service Law §114-a and Membership Dues

We Act asserts that the Companies have been improperly recording political expenditures and charging such expenditures to ratepayers.[131] More specifically, We Act claims that KEDNY's Historic Test Year includes $2,419 and KEDLI's Historic Test Year includes $2,974 in dues to the National Insurance Crime Bureau, which has registered lobbyists representing its interests before Congress.[132] We Act contends that State and Federal law, as well as Commission regulation and guidance, prohibit utilities from charging ratepayers for the

[128] AGREE Statement in Opposition, p. 6.
[129] Joint Proposal, Appendix 3, Schedule 4.1, p. 4.
[130] Case 24-E-0165, Proceeding on Motion of the Commission Regarding the Grid of the Future, Order Instituting Proceeding, (issued April 18, 2024), p. 8.
[131] We Act Statement in Opposition, p. 39.
[132] We Act Statement in Opposition, p. 40

costs of political activities such as membership dues to organizations that engage in lobbying, efforts to sway public officials on policy matters, and advertising that aims to influence the opinions of the public or policymakers.[133]

When preparing its initial rate filing, KEDNY and KEDLI conducted a two-layer review of its Historic Test Year costs. The Companies explain in their initial testimony that the intention of the Historic Test Year review is to "ensure that the costs are accurate and appropriate to use as a basis for forecasting the Rate Year".[134] The Companies' first layer of review was intended to identify potential charges that should be removed from the Historic Test Year, including charitable donations, lobbying expenses, and other charges that should be accounted for below the line for ratemaking purposes.[135] The second layer of review consisted of dues and subscriptions expenses, where the Companies assert that membership dues associated with organizations engaging in legislative lobbying have been removed from the Historic Test Year.

Staff agrees with We Act and the Companies, that the costs of membership dues for organizations engaging in legislative lobbying should not be reflected in delivery rates. Public Service Law § 114-a prohibits utility companies from recovering the entire cost of membership dues in rates, when such membership dues are for membership in an organization, association, institution, or corporation that engages in legislative lobbying. Accordingly, in the event the Companies inadvertently included any charges for association dues for any organization, association, institution, or corporation that participates in legislative lobbying, Staff recommends the Commission direct the Companies to defer such charges, with interest, for future refund to customers.

1.2 Companies Actions Are Not Inherently Impermissible Under the Uniform System of Accounts and the Commission's Policy Statement

We Act asserts that the Companies have included costs of activities "for the purpose of influencing the decisions of public officials" and those costs should be recorded below the line under federal law.[136] We Act identifies three separate activities, including KEDNY and KEDLI employee(s): (1) testifying before the New York City Council Committee

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[133] We Act Statement in Opposition, p. 39.
[134] Case 23-G-0225 et al., supra, KEDNY Direct Testimony of the Revenue Requirements Panel (filed April 28, 2023) (KEDNY Revenue Requirements Panel), p. 28.
[135] KEDNY Revenue Requirements Panel, p. 28.
[136] We Act Statement in Opposition, p. 41.

on Environmental Protection concerning a proposed municipal bill to phase out fossil fuel combustion in new buildings; (2) providing formal comments to the Climate Action Council on the draft Scoping Plan; and (3) submitting a comment letter to NYS DEC and NYSERDA regarding New York State's proposed cap and invest program.[137, 138] Citing to the Uniform System of Accounts (18 C.F.R. Part 201), We Act also argues that Federal Law requires the costs of these activities be recorded below the line i.e., that they should be excluded from rate recovery.

In their rebuttal testimony, the Companies argued that participating as a witness, attorney, or other company representative in public, on-the-record proceedings is exempted from the definition of lobbying under New York Legislative Law § 1-c(c)(A) and New York City Administrative Code § 3-211(c)(3)(iii). The Companies also argue that responding to a request for information or statement by a government official or agency is exempted under New York Legislative Law § 1-c(c)(E) and New York City Administrative Code § 3-211(c)(3)(v). KEDNY also noted that the employee's time spent on DEC and NYSERDA comments were outside of the Historic Test Year and, as such, not reflected in the Rate Year forecast.[139]

Pursuant to 16 NYCRR §310.1, the PSC utilizes the Uniform System of Accounts to inform its ratemaking and directs utilities to record their costs following the procedures included in the Unform System of Accounts. Moreover, pursuant to 16 NYCRR 310.1(c), the Commission's regulations state that "in prescribing this system of accounts, the commission does not commit itself to the approval or acceptance of any item set out in any account for the purpose of fixing rates or in determining other matters before the commission." Ultimately, it remains the sole purview of the Commission to determine whether costs properly align with the Uniform System of Accounts and whether costs recorded in accordance with the system are permissible costs to recoup from ratepayers.

Concerning the three particular categories of costs identified above, We Act argues that certain types of costs such as lobbying are improperly booked above the line rather than below. Arguing in a way that these costs are recorded incorrectly between accounts 426.4

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137 We Act Statement in Opposition, pp. 41-42.

138 The Cap-And-Invest Program proposes to establish a declining cap on greenhouse gas emissions and invest in programs that drive emissions reductions in an equitable manner.

139 Case 23-G-0225 et al., supra, KEDNY Rebuttal Testimony of the Revenue Requirements Panel (filed September 22, 2023) (KEDNY Revenue Requirements Panel Rebuttal), p. 26.

"Expenditures for certain civic, political and related activities," rather than account category 930.2 "Miscellaneous and general expense." We Act contends that the Federal Energy Regulatory Commission (FERC), which promulgates the regulations that govern the Uniform System of Accounts, considers costs booked to category 426.4 presumptively impermissible for rate recovery, while costs booked to category 930.2 are presumptively recoverable. This superficial and simplistic argument does not provide the further analysis of whether the types of activities are, in and of themselves, impermissible for rate recovery. It remains within the Commission's discretion to consider whether these activities fall within the ambit of lobbying to influence particular legislative outcomes such as, for example, influencing the passage of particular legislation by a legislative body or whether the Governor approves or vetoes particular legislation.

Staff argues that while the Uniform System of Accounts is a useful guide and tool to streamline the analysis of a Company's costs, it alone does not establish whether particular costs can or should be recouped from ratepayers; rather the Commission must consider the particular activities and compare them to the applicable state standards. As stated in 16 NYCRR 310.1(c) the Commission "does not commit itself to the approval or acceptance of any item set out in any account for the purpose of fixing rates or in determining other matters before the commission." This explicit disclaimer refutes We Act's argument, full stop.

As discussed in the Commission's 1977 Statement of Policy on Advertising and Promotional Practices of Public Utilities, prior to 1977, the Commission separated advertising expenses into two broad categories "promotional-advertising," intended to stimulate the purchase of utility services, and "institutional and informational" advertising, which the Commission considered "a broad category inclusive of all advertising not clear intended to promote sales."[140] In the 1977 Policy Statement the Commission recognized the need to further subdivide the institutional and informational category into "(1) civil, political and related advertising activities, and (2) information and other institutional advertising."[141] The Commission states that "political advertising – in support of, or opposed to, governmental action of any kind – will not be considered a legitimate cost of doing business for the purpose of determining rates." Further,

[140] Statement of Policy On Advertising And Promotional Practices of Public Utilities (issued February 25, 1977) (1977 Policy Statement), p. 3.
[141] 1977 Policy Statement, p. 9.

"[a]ll political advertising is required to be recorded below the line in nonoperating expense account No. 426.4." Yet, the Commission also recognized that utilities have the right to publish their thoughts on vital operational issues reflecting a similar concern for the welfare of its consumers or by making a genuine contribution to a public policy debate. Ultimately, the Commission determined it will "no longer sanction the use of sums provided by ratepayers to advance one side of a public controversy."[142] Conversely, the Commission clarified that some forms of institutional advertising are a legitimate cost of doing business, specifically,

> notification of emergency conditions and procedures; instructions in the proper use of the equipment which makes use of the utility's service; information about new rates, new billing practices, or new inspection or meter reading schedules; advise concerning hazards associated with the utility's service; reports on matters of interest to the public concerning the utility's service – such as service difficulties and progress in overcoming them, projections of new capacity additions, plans for new or improved means of providing service, and the like. Expenses incurred by utilities for this type of advertising are clearly properly recoverable in rates.[143]

The Commission also recognized that there is a large middle ground of institutional advertising that falls somewhere in between benefitting customers and the political. The Commission determined that companies would be allowed very small amounts in rates to cover both purely informational and any intermediate categories of other institutional advertising.[144] As such, the Commission indicated a probable range of costs as a percentage of operating revenues, however, the Commission stated that this range will be determined for each company individually and includes consideration of multiple factors including the size and makeup of the utilities' territory. The goal of this approach is to obviate the need for a "vexing and arbitrary" process to decide whether specific expenses should be allowed or disallowed in rates.

The 1977 Policy Statement demonstrates that the Commission has a pre-established standard to decide whether these types of costs were permissible costs to be recouped from ratepayers. The applicable standard designates as impermissible the costs to present a one-sided argument to influence political or legislative decisions. Based on this standard it is permissible for the Companies to recover from ratepayers the costs of the activities We Act identified. Thus, the Commission should allow these costs to be recovered. The Commission's

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142 Id., p. 10.
143 Id., pp. 11-12.
144 Id., p. 13.

policy acknowledges that there is a large middle ground and, in fact, specifically acknowledged that a utility is permitted to recover the inescapable and legitimate costs to answer public criticism or scrutiny.

Alternatively, at a minimum, the Commission should evaluate the actions taken by the Companies and consider the degree to which such actions seek to influence the actual passage of legislation or legislative decisions. From there, only the Commission can establish the proper allocation of permissible and impermissible costs, a process specifically outlined in its 1977 Policy Statement.

As argued above, the Companies' actions do not fall into the category of political advertising having the sole purpose of influencing legislative outcomes or legislative decision making. The Companies' statements and reports discuss their operational readiness to meet the State's ambitious climate goals and offer reasonable alternatives including specific types of projects, such as RNG, recognized by the Climate Action Council as serving a role during the State's clean energy transition.

We Act also argues that it is impermissible for the Companies to recover these costs as the speech exercised by the Companies impinges on the First Amendment rights of its ratepayers, arguing that ratepayers must be protected from the "forced financial support for causes" to which they are opposed. We Act's arguments are undermined by its own bias against potential pathways toward a clean energy future. Specifically, We Act has strongly opposed certain of the Companies' RNG interconnection projects arguing that they are contrary to the State's clean energy goals;[145] however, as the CAC has acknowledged, and Staff has stated numerous times there is a role for RNG in the transition toward that future.[146] We Act merely disagrees with the potential alternatives proffered by the Companies and rushes to claim that those statements impinge on the First Amendment rights of its customers, and further that any costs associated with pursuing those alternatives be precluded from recovery.

The Companies have an inescapable role in participating in the public processes that inform our State's clean energy transition, and in conformance with the Commission's 1977

[145] Case 23-G-0225 et al., supra, Direct Testimony of Sonal Jessel on Behalf of We Act For Environmental Justice (filed September 1, 2023) (Jessel Testimony), pp. 80-81.
[146] Staff Statement in Support, p. 86.

Policy Statement they should be afforded a small pool of revenues to respond in these proceedings and to the legislative initiatives that influence their operations.

1.3 Companies' Clean Energy Vision Report

As discussed above, it is within the Commission's discretion to determine whether certain activities and materials and their associated costs should be recoverable from ratepayers. The Companies assert that the Clean Energy Vision Report provides information regarding their proposed pathway toward meeting the State's clean energy goals.

Notably, We Act acknowledges that the FERC does not have a bright line rule regarding such materials.[147]

> The Commission [FERC] has not previously adopted a bright line rule or specific guidelines that delineate between above the line and below the line expenses for informing and influencing the public, including industry association dues for such activities, instead allowing utilities to determine the portion of their industry association dues to include in above the line and below the line accounts, respectively, based on information provided by the industry associations about their activities and associated costs.[148]

Given this concession, it is up to the Public Service Commission to determine whether some, all, or none of the costs associated with the development and issuance of such a report are recoverable. Moreover, the Commission's 1977 Policy Statement on Advertising and Promotional Practices of Public Utilities provides the necessary framework to determine whether to accept or deny these costs.

1.4 Activities Fall Within Large Middle Ground of Advertising For Which Advertising is Permissible

We Act asserts that KEDNY and KEDLI seek recovery for expenditures related to political advertising, in "contravention of Commission guidance".[149] Specifically, We Act points to promoting the Clean Energy Vision report, which it asserts is a policy proposal, and a blurb in materials sent to customers which, it argues, promotes natural gas.[150] We Act references the 1977 Policy Statement that utilities may not recover from ratepayers. We Act continues, stating

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147 Rate Recovery, Reporting, and Accounting Treatment of Industry Association Dues and Certain Civic, Political, and Related Expenses, 86 FR 72958-01, p. 2.
148 Id.
149 We Act Statement in Opposition, p. 46.
150 Id., pp. 47-48.

that the Policy Statement explained that "[i]t is generally accepted that advertising which states a utility's position on a matter of public controversy necessarily reflects the political views or self-interest of managements or shareholders and should not be borne by ratepayers" and that ratepayers should not fund any "advertising which seeks to sway opinion—legislative, environmental, governmental, consumer or any other kind—to the industry's position on public policy disputes".[151] Generally, We Act claims the Companies have used ratepayer money for corporate advertising that aims to influence or sway public opinion on the role of natural gas or "matters of public controversy" and that these costs are reflected in the Historic Test Year and, thus, in the Companies' revenue requirements.

During the discovery phase, Staff requested the Companies to "[e]xplain in detail whether the Company's advertising activities are performed in accordance with the Commission's Statement of Policy on Advertising and Promotional Practices of Public Utilities, issued on February 25, 1977".[152] The Companies, in response, explained that their advertising efforts are consistent with the Policy Statement, and that a majority of their advertising efforts pertain to customer outreach and education, and that their advertising activities revolve around "customers 'rights and responsibilities, gas safety (including "Call Before You Dig"), what to do in an emergency, COVID-19, special needs, the Service Line Inspection program, how to lower monthly bills and get help paying bills, assistance programs, energy efficiency, and seasonal campaigns (*i.e.*, winter natural gas prices, staying warm, etc.)."[153] Staff, in its direct testimony, explained that the Companies provided a sample of outreach materials and in Staff's review, verified that such materials adhered and complied with the Commissions' Policy Statement.[154]

Additionally, Staff notes that the Policy Statement acknowledges that there is a "large middle ground of institutional advertising that falls somewhere between that clearly beneficial to customers, and that which is clearly political or controversial."[155] Regarding this middle ground of advertising, the Commission determined that "…the time spent by our staff in ferreting through innumerable vouchers of institutional advertising is far out of proportion to the

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151 Id., p. 46.
152 Exhibit___(SCSP-1), p. 4.
153 Id.
154 Case 23-G-0225 et al., supra, Direct Testimony of the Staff Consumer Services Panel (filed September 1, 2023) (Staff Consumer Services Panel), pp. 29-30.
155 1977 Policy Statement, pp, 11-12.

dollar amount of expenses found in that process to be unacceptable for rate purposes" and instead allowed utilities to recover a small pool of dollars for this type of advertising.[156]

Staff believes that the advertising We Act cites falls into this "middle ground" of advertising, and is therefore allowed in rates per the Commission's Policy Statement. As such, the costs associated with advertising reflected in the revenue requirement are reasonable, consistent with the Policy Statement, and should be adopted.

1.5 Regulator's Sovereign Enforcement Powers Differs from Multiparty Proceedings Concerning Utility Regulator's Rate Making Powers.

We Act mistakenly seeks to leverage this rate case to impose continuous investigations and audits on the Companies as a condition of the ensuing rate order. We Act's effort is inappropriate for many reasons. To begin with, the Commission's ratemaking process is not the appropriate forum or proceeding to coopt the Commission into commencing any investigation into allegations made by intervening parties. In recent orders, the Commission recognized and underscored the separate and different functions provided by rate cases, operation and management audits, formal regulatory investigations, and enforcement proceedings.[157] We Act's proposal fails to recognize the meaningful differences that exist across those processes. Given those very real differences, Staff declines to substantively address We Act's allegations, which are superficial or lack adequate documentation. Staff respectfully submits that the Commission should refrain from using these rate cases to direct any audit or investigation. We Act's thinly based request for the Commission to direct an audit of the Companies is inappropriate and should be rejected.

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[156] Id., pp. 12-13.

[157] Case 21-M- 0541, Proceeding on Motion of the Commission to Conduct a Comprehensive Management and Operations Audit of Central Hudson Gas & Electric Corporation, Order Approving Implementation Plan With Modifications (issued March 15, 2024), p. 5; Cases 23-E-0418 and 23-G-0419, Central Hudson Rates, Order to Deny Rate Case Filings (issued December 19, 2023), pp. 8-9; Cases 22-E-0317 et al., supra, Order Approving Joint Proposal (issued October 12, 2023), pp. 8-10. Suffice to say, a proceeding initiated pursuant to a regulator's sovereign enforcement powers differs from multiparty proceedings concerning utility regulator's rate making powers.

1.6 Tracking Political Expenditures May Have Unintended Consequences

The Joint Proposal includes numerous provisions which track the costs associated with the Companies' advertising, marketing, and outreach programs. Further, the Joint Proposal includes various tracking and reporting requirements to which the Companies must comply. As such, the Joint Proposal provides adequate and appropriate controls for Staff and the Commission to track the Companies' activities. Requiring tracking and reporting as We Act proposes would create duplicative requirements or at worst spur return Staff and the Companies back to the same "vexing and arbitrary" process in contradiction of the very same guidance We Act uses to support its positions. For these reasons, We Act's proposal should be rejected.

VII. CONCLUSION

For the reasons stated in Staff's Statement in Support of the Joint Proposal and in this Reply Statement, Staff recommends that the Commission adopt the terms of the Joint Proposal without modification.

Respectfully submitted,



Nicholas Forst
Peter Hilerio
Molly Magnis
Staff Counsel

Dated: Albany, New York
May 10, 2024